

GNIOT Institute of Management Studies – PGDM (Batch 2024-26)**(TRIMESTER – III) END TERM EXAMINATION, MAY -2025****Security Analysis and Portfolio Management**

[Time: 2 Hours]

[Maximum Marks: 60]

Following are the course outcomes of the subject: - Security Analysis & Portfolio Management

CO	Course Outcome (CO)
CO1	Fundamental concepts of investment analysis, portfolio construction, and risk management
CO2	It helps to develop the ability to assess and manage risks associated with diverse investment opportunities, understanding their impact on portfolio performance.
CO3	Familiarity with analytical tools like Modern Portfolio Theory (MPT), Capital Asset Pricing Model (CAPM), and performance evaluation metrics for effective portfolio analysis and optimization.

SECTION-A**Attempt all parts of the following: (Short Answer Type Questions, do not exceed 150- 200 words)**

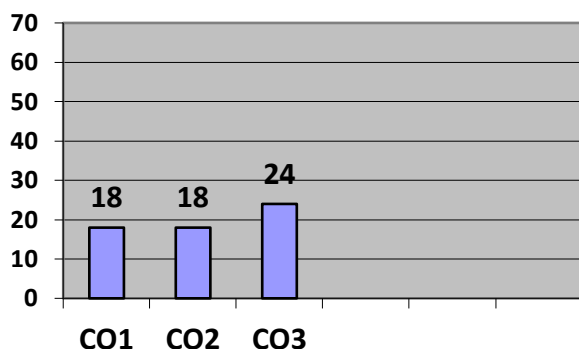
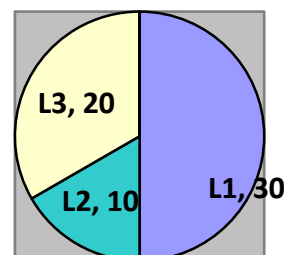
Q.1	Marks	COURSE OUTCOME	BLOOMS LEVEL
(A)	4	CO – 1	BL - 1
(B)	4	CO – 1	BL – 1
(C)	4	CO – 2	BL – 1
(D)	4	CO – 2	BL – 1
(E)	4	CO - 3	BL - 1

SECTION-B**Attempt ANY TWO questions out of the following: (Long Answer Type Questions, do not exceed 300- 400 words)**

Q. No	Marks	COURSE OUTCOME	BLOOMS LEVEL
2 (A)	10	CO – 1	BL - 2
2 (B)	10	CO – 1	BL – 2
3 (A)	10	CO – 2	BL – 1
3 (B)	10	CO – 2	BL - 1

SECTION-C**Attempt all parts of the following: (Caselet / Numerical, do not exceed 300- 400 words)**

Q.4	Marks	COURSE OUTCOME	BLOOMS LEVEL
4 (A)	10	CO – 3	BL - 3
4 (B)	10	CO - 3	BL - 3

Course Outcome Wise Marks Distribution**L1 L2 L3****Bloom's Level wise Marks Distribution**

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(TRIMESTER – III) END TERM EXAMINATION, MAY - 2025

Security Analysis and Portfolio Management

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[Maximum Marks: 60]

INSTRUCTIONS:

- (i) **There are THREE sections in this question paper.**
- (ii) **Attempt questions from each section as per the directions.**
- (iii) **Make suitable assumptions wherever necessary.**

SECTION-A

(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following:

(5×4=20)

- (a) Define investment and distinguish between financial and non-financial investments.
- (b) What are the three phases of Dow Theory?
- (c) Define yield to maturity and current yield.
- (d) Define industry cycle and list its stages.
- (e) State the CAPM equation and define its variables.

SECTION-B

(Long Answer Type Questions)

Q.2. Attempt all questions of the following

(2X10=20)

- (a) Define investment. Differentiate between financial and non-financial investments with at least three examples of each.

OR

- (b) Explain the various types of risks associated with investments. Distinguish between systematic and unsystematic risk using suitable examples.

Q.3. (a) Find the current yield of a bond with a face value of ₹1,000, annual coupon of ₹80, and market price of ₹960.

OR

- (b) Define systematic or unsystematic risks: interest rate changes, company strike, inflation, product recall.

SECTION-C

Q.4. Attempt all parts of the following:

(2×10=20)

- 4(a)** An investor is considering two bonds. Bond X has a coupon rate of 9%, priced at ₹970. Bond Y has a coupon rate of 8.5%, priced at ₹940.
Apply current yield formula to both and recommend the better option for a short-term income-seeking investor.
- 4(b)** Solve the expected return of a stock using the CAPM model given the following: Risk-free rate = 5%, Market return = 12%, Beta = 1.4. Interpret your result in context of investor decision-making.